

K&K ENTERPRISES LTD.

(DBA K&K Trailer Sales)

4609 46 Avenue, Rimbey, AB T0C 0M0 · 403-505-4025 | RR1 Box 37, Delisle, SK S0L 0P0 · 306-493-2506 | rental@kandkent.ca

SCHEDULE C RENT-TO-OWN OPTION

This Schedule forms part of, and is subject to, the K&K Equipment Rental Agreement identified below. Words defined in that Agreement have the same meaning here. Where this Schedule and the Agreement differ, this Schedule governs.

Rental Agreement dated	
Business / company name (the Customer)	
Unit #	
VIN 1	
VIN 2	

THE DEAL

Purchase Price (plus GST)	\$
Monthly Rent (plus GST)	\$
Option Term	_____ months, ending _____, 20____
Credit plan — select one	☐ Plan A — 50% of rent credited (K&K maintains) ☐ Plan B — 65% of rent credited (Customer maintains)
Monthly Purchase Credit	\$

Buyout at any time = Purchase Price – (Monthly Purchase Credit × months credited), plus GST and anything else owing.

WHO LOOKS AFTER THE TRAILER

	Plan A — 50%	Plan B — 65%
Annual CVIP	K&K, at its shop, at K&K's cost	Customer, at the Customer's cost
Breakdowns and repairs	Rental Repair Policy applies as normal	Customer pays for everything. No reimbursement from K&K
Wear items and routine maintenance	Customer (Standard Terms 5.2)	Customer

HOW IT WORKS

- Option to buy.** K&K gives the Customer the option to buy the Equipment for the Purchase Price, less credits earned, at any time during the Option Term. The Equipment remains K&K's property until the purchase is complete. Standard Terms 1.1 applies subject to this option.
- Earning credits.** Each month's rent that is paid in full within 5 days of its due date earns one Monthly Purchase Credit. A month paid later than that earns no credit. Credits are calculated on rent before GST.
- Credits are not money.** Credits only reduce the Purchase Price. They are not a deposit, are not refundable, have no cash value, and cannot be transferred to another person or another unit.

4. **Fixed rate.** The Monthly Rent and Purchase Price stay the same for the whole Option Term. Discounted minimum-term rates (Key Term 5 and Standard Terms 7.4) do not apply to this rental.
5. **Buying.** The Customer tells K&K in writing (email or text is enough) and pays the buyout, plus GST and any other amount owing, by bank transfer or certified funds. On receipt of cleared funds K&K signs a bill of sale, transfers ownership and discharges its PPSA registration. The Equipment is sold as is, where is. Any remaining manufacturer's warranty passes to the Customer to the extent it is transferable.
6. **When credits are lost.** If this rental ends for any reason before the purchase is complete — the Equipment is returned, K&K ends the Agreement for default under Standard Terms 9, or the Option Term expires — the option ends and all credits are forfeited. Rent already paid is rent and is not refunded.
7. **End of the Option Term.** If the Customer has not bought the Equipment by the end of the Option Term, the option expires and the rental continues month to month under the Agreement unless either party ends it.
8. **Plan A — K&K maintains.** K&K services the Equipment and completes the annual CVIP at its shop, at its cost. The Customer must bring the Equipment to the K&K shop within 14 days of being asked. The Rental Repair Policy applies as normal.
9. **Plan B — Customer maintains.** The Customer pays for all maintenance, repairs, wear items and the annual CVIP, wherever the work is done. Sections 2 and 3 of the Rental Repair Policy (K&K-paid repairs and reimbursements) do not apply. The Customer must keep a valid CVIP at all times and send K&K a copy within 10 days of each inspection. Work done at a K&K shop is billed at regular shop rates.
10. **Condition and inspection.** Under either plan the Customer must keep the Equipment in safe, roadworthy condition that would pass CVIP. K&K may inspect it on reasonable notice. If the Customer does not keep it up, K&K may do the work and charge the Customer, and it is a default under Standard Terms 9.1.
11. **Total loss.** If the Equipment is destroyed or not recovered, Standard Terms 6.3 applies and the option ends. Any insurance proceeds K&K actually receives above the buyout amount owing on the date of loss are paid to the Customer.
12. **PPSA.** The Customer consents to K&K registering its interest in the Equipment under the Personal Property Security Act of the province whose law governs the Rental Agreement, and in any other province where the Equipment is kept.
13. **Everything else applies.** All other terms of the Rental Agreement apply unchanged.

YOU LOSE THE CREDITS IF THE RENTAL ENDS EARLY

Credits only count if you buy the trailer. If it comes back, or we end the rental because payments are more than 15 days late or the trailer isn't being looked after, every credit is gone and none of the rent is refunded.

Only months paid within 5 days of the due date earn a credit.

Customer initials: _____

SIGNATURES

I have read this Schedule and the Rental Agreement it forms part of, and I agree to it.

Customer signature: _____ Date: _____

Print name and title: _____

K&K Enterprises Ltd. — authorized signature: _____ Date: _____

Print name and title: _____